



A UK BUYER'S GUIDE

Choosing the Right Islamic Home Finance

*A practical, honest guide for
Muslims buying a home in the UK*

DATA SNAPSHOT: FEBRUARY 2026
23 home finance products from 11 providers
31 halal savings products from 15 providers



ABOUT THIS EDITION

Typeset from a single source manuscript. Every provider, product, deposit requirement, finance range, term, and transparency rating in this book is drawn from a dated snapshot of *MySharia-Provider-Database.xlsx*, extracted on 2026-02-01. No rates, products, or providers have been added beyond that dataset. Where the data is silent, the text says so directly rather than estimating.

FIGURES AND CHARTS

All six charts are computed directly from the same dataset and are captioned “As of February 2026” to match the book’s data caveats. Islamic home finance products change often. Treat every figure here as a photograph of a moment, not a live quote.

NOT FINANCIAL ADVICE

This book is educational. It is not regulated financial advice, Sharia advice, or a recommendation to buy any product from any provider. Nothing here is a substitute for speaking to an FCA-authorised adviser, and, if it matters to you, your own trusted Islamic scholar, before signing anything. The author receives no payment from any provider named in these pages.

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CHAPTER 1

Foreword and how to use this guide

Why this guide exists

Buying a home is stressful for almost everyone. For Muslims in the UK who want to avoid *riba*, the Arabic word for interest, it comes with an extra layer of research most other buyers never have to do. The products are called different things by different providers. The paperwork uses words like *Ijara* and *Musharaka* instead of "mortgage." The pricing is sometimes hard to compare because two providers describe the same idea in two different ways. And underneath all of it sits a genuine, long-running scholarly debate about whether some of these products are truly free of interest in substance, or only in form.

This guide was built to help with exactly that. It pulls together data on 23 home finance products from 11 providers active in the UK as of February 2026, along with 31 related savings products, and turns that data into plain explanations, comparison tables, and a decision framework. It also does something a lot of marketing material will not do: it explains the criticism of these products honestly, so you can make up your own mind with open eyes.

Who this is for

This book is written for someone who has little or no background in finance and wants to understand:

- What "Islamic home finance" actually is, in plain English
- Why interest is prohibited in Islam and what that means in practice
- Why some scholars and commentators argue that certain UK Islamic mortgage products do not go far enough
- What the UK market actually looks like right now, provider by provider
- How to compare products on the things that matter: deposit size, fees, term length, and how the Sharia oversight actually works
- How to choose the right option for your own situation, whether you are a first-time buyer, a landlord, or someone buying at the top end of the market

You do not need to know what Diminishing Musharaka means yet. Chapter 5 explains it from scratch, with a worked example in pounds and pence.

What the underlying data actually covers

To keep this guide grounded in reality rather than generic advice, it draws on a structured dataset covering the UK Islamic home finance and savings market. As of February 2026, that dataset lists 23 distinct home finance products spread across 11 providers, ranging from long-established Islamic banks to newer entrants and mainstream banking groups running dedicated Islamic

finance arms. It also lists 31 halal savings products, from everyday savings accounts to fixed-term deposits, which matter enormously to this topic because almost every Islamic home finance provider requires a larger deposit than a conventional lender, often 15 to 20 percent of the property price rather than 5 or 10 percent, which makes the savings side of this journey just as important as the mortgage side.

Every table, provider profile, and figure in this book traces back to that dataset. Where the data is silent on something, for example if a provider does not publish a specific fee or does not offer buy-to-let finance, this guide says so directly rather than guessing or padding the gap with a plausible-sounding number.

Why a book, and not just a comparison table

You could, in theory, get most of the raw numbers in this book from a single spreadsheet, and in fact that is exactly where this book started. But numbers on their own do not tell you which numbers matter for your situation, why two providers that look similar on price can differ enormously in practice, or what questions actually separate a strong choice from a weak one. A first-time buyer with a 15 percent deposit, a landlord assembling a buy-to-let portfolio, and a professional buying a flat in central London at the very top of the market are, in effect, shopping in three different parts of this market, even though all three might be looking at the word "Islamic mortgage." This guide is organised so each of those readers can find their own path through the data, not just a single generic ranking.

How this guide is organised

The book has twelve chapters. The first few build understanding from the ground up: what *riba* is, why it matters, and the honest disagreements about how well today's products live up to the ideal. The middle chapters get practical: how the UK regulates these products, how each contract type actually works, and profiles of every provider in the data. The later chapters turn all of that into decision-making tools, cover halal savings for building a deposit, and end with a glossary and full comparison tables.

You can read it start to finish, or jump straight to the chapter that answers your immediate question. Chapter 8, "How to actually choose," is written so it makes sense even if you skip everything before it, though it will make more sense if you have read Chapter 5 on contract models first.

A note on dates and figures

Every provider, rate, fee, deposit requirement, and term length in this guide comes from a data snapshot taken in **February 2026**. Islamic home finance products change often. A provider might tighten its minimum deposit, add a new fixed-rate option, or change its Sharia board next month. Treat every number in this book as a photograph of a moment in time, not a live quote.

Whenever you see a comparison or a specific figure, it will be captioned "As of February 2026" as a reminder. Before you commit to anything, check the provider's current terms directly, ideally in writing, and get independent financial and Sharia advice suited to your own circumstances.

The disclaimer, stated plainly

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☀ KEY TAKEAWAYS

- This guide explains UK Islamic home finance in plain language, using a real dataset of 23 products from 11 providers as of February 2026.
- It presents both the case for these products and the honest scholarly criticism of them, rather than only marketing language.
- All figures are a snapshot in time. Always verify current terms with the provider before acting.
- This is education, not financial or religious advice. Get proper advice for your own situation.



CHAPTER 2

Islamic finance for absolute beginners

Start with the word *riba*

Almost everything in this book traces back to one Arabic word: *riba*. It is usually translated as "interest" or "usury," though the concept is a little broader than either English word on its own. *Riba* refers to an unjustified, guaranteed increase on a loan of money, charged simply for the passage of time, regardless of whether the borrower's venture succeeds or fails.

The prohibition of *riba* appears repeatedly in the Quran, and it is treated in Islamic scholarship as one of the clearer, more firmly established rulings, not a minor or debatable point. That matters, because it explains why so many Muslims will go to real lengths, and accept real extra cost and paperwork, to avoid a conventional interest-based mortgage.

Why interest is prohibited: the moral logic, not just the rule

It is easy to hear "interest is haram" as an arbitrary rule handed down from above, with no explanation. But classical and

contemporary scholars generally explain the prohibition through a few connected ideas, and understanding them makes the rest of this book easier to follow.

Money is not supposed to make more money on its own. In the Islamic view, money is a medium of exchange and a measure of value, not a commodity to be rented out for a fee. A house can be rented because it provides a real, usable service (shelter) over time, and that service has value. A £10 note handed over today and returned as £11 next year has not provided any comparable service. The extra £1 is charged purely for time itself, which is seen as something only God controls, not something a lender can fairly charge for.

Risk and reward should travel together. In a conventional loan, the lender is owed their interest whether the borrower's business thrives or collapses. The lender takes on almost no risk, yet is guaranteed a reward. Islamic finance, at least in its ideal form, insists that whoever wants a share of the reward must also share some of the risk. This is the idea behind partnership-based contracts like Musharaka, which literally means partnership, and which shows up constantly in this book because it is the backbone of most UK Islamic mortgages.

Interest can concentrate wealth and punish hardship. A debt that grows through compounding interest can trap a struggling borrower in a widening hole purely because they are already behind, at the exact moment they can least afford it. Islamic scholars argue this works against the Quran's repeated concern for fairness between the wealthy and the vulnerable.

Real economic activity should be at the centre of finance. Interest-based lending lets money multiply through pure financial engineering, detached from the production of real goods, services,

or housing. Islamic finance, in principle, ties every transaction to something real: an actual property, an actual trade of goods, an actual partnership in an actual asset.

None of this means Muslims believe conventional finance is only about greed, or that everyone who charges interest is acting in bad faith. It means that, within Islamic teaching, this particular mechanism, guaranteed compensation for the mere passage of time on a loan of money, is considered unjust regardless of the lender's intentions, and is therefore off-limits.

A short worked example of the moral logic

Abstract principles land better with a concrete picture. Imagine two neighbours, Amina and Tom, who each need to borrow £10,000 for a year. Tom borrows from a conventional lender at 8 percent interest. Whatever happens to Tom that year, whether his small business booms or whether he loses his job the following month, he owes exactly £10,800 back. The lender's return is fixed and guaranteed, entirely detached from how Tom's year actually goes.

Now imagine Amina instead enters a partnership with a financier who puts in the same £10,000 to help her open a small shop, in exchange for 30 percent of the shop's profit that year. If the shop does well and makes £4,000 profit, the financier receives £1,200, more than Tom's lender made. If the shop struggles and only breaks even, the financier receives nothing at all, despite putting in the same amount of money. If the shop loses money, in a genuine partnership structure the financier absorbs a real share of that loss too.

This is the moral difference Islamic finance is trying to preserve: a lender who takes no risk should not be guaranteed a

reward, while a genuine partner who shares in both the upside and the downside can fairly share in the profit. Keep Amina and Tom in mind through Chapter 3, because the central criticism of some UK Islamic mortgage products is essentially the question of whether the customer ends up more like Tom than like Amina, even when the paperwork says partnership.

A brief word on where these rules come from

It is worth being clear about the sourcing here, since this book will refer to "scholars" and "scholarly opinion" often. The prohibition of *riba* is not a single modern interpretation. It rests on verses in the Quran, most famously in Surah Al-Baqarah, and on statements attributed to the Prophet Muhammad recorded in the hadith literature, and it has been discussed continuously by Islamic jurists across every major school of Islamic law for over a thousand years. What has genuinely evolved, and what generates real modern debate, is not whether *riba* is prohibited, which is settled, but how that prohibition should be applied to instruments that did not exist in the classical period, such as securitised mortgages, benchmark-linked rent, and modern banking regulation. That second question, application to modern instruments, is where Chapter 3's honest disagreement actually lives.

So how do you buy a house without a mortgage?

If you cannot borrow money and pay it back with interest, how does home buying work at all? The short answer used throughout this book is that Islamic home finance does not lend you money to buy a house. Instead, it typically does one of a few things:

- **Buys the house alongside you** and gradually sells you its share while charging rent on the part it still owns, until you own the whole thing. This is the Diminishing Musharaka model, used by the majority of UK providers in this data.
- **Buys the house and leases it to you**, with a portion of your payment covering rent and, depending on the structure, building towards eventual ownership. This is Ijara.
- **Buys the house and resells it to you at an agreed, disclosed profit margin**, paid off over time at a fixed price that never changes. This is Murabaha.

All of these are explained properly, with worked £ examples, in Chapter 5. For now, the point to hold onto is this: rather than lending you money against interest, the provider takes an actual, real stake, either as a co-owner, a landlord, or a seller, and earns its return from that real position, not from renting out money itself.

Why this still feels complicated in practice

If the underlying idea is straightforward, why do these products feel so much more complicated than an ordinary mortgage? Partly it is unfamiliar vocabulary. Partly it is that UK regulation, tax law, and mainstream mortgage infrastructure were all built around conventional lending, so Islamic providers have to fit partnership and lease structures into a legal system that was not designed with them in mind. Chapter 4 covers how UK regulators and tax law actually treat these products.

There is also a more honest complication, and it is the subject of the next chapter: a serious, respected body of scholarly opinion argues that some of these products, in practice, end up

economically very close to a conventional interest-based loan, even though they are structured differently on paper. That is not a fringe conspiracy theory. It is a real, ongoing debate inside Islamic finance itself, and you deserve to hear it stated fairly before you choose a product.

☀ **KEY TAKEAWAYS**

- Riba, the prohibition on interest, is treated as one of the firmer, better-established rulings in Islamic teaching, not a minor detail.
- The moral logic rests on a few ideas: money should not multiply purely through the passage of time, risk and reward should be shared, interest can trap the vulnerable, and finance should be tied to real economic activity.
- UK Islamic home finance generally works by the provider taking a real stake in the property, as co-owner (Musharaka), landlord (Ijara), or seller (Murabaha), rather than lending you money against interest.
- The underlying idea is simple. The practical products can feel complicated because they have to operate inside a legal and tax system built for conventional lending.
- There is a genuine scholarly debate about how well some products live up to the ideal in practice. Chapter 3 covers it honestly.



CHAPTER 3

The honest critique

Why this chapter exists

Most material written about Islamic home finance is produced by, or for, the providers themselves. That is not sinister. It is simply how marketing works. But it means the average reader rarely hears the other side of a debate that has been running inside Islamic finance for decades: whether today's products actually deliver what the prohibition of *riba* is meant to protect, or whether some of them arrive at a very similar economic outcome through a different route.

This chapter lays out that debate as fairly as it can be laid out in a few pages. It is not an attack on any single provider, and it does not conclude that Islamic home finance is a sham. It concludes that the criticism is serious, made by credible scholars and academics, and worth understanding before you sign anything.

The core criticism, stated plainly

The central objection goes like this. In a Diminishing Musharaka contract, the provider buys most of the property alongside you and you gradually buy out its share. Two separate charges are

usually bundled into your monthly payment: rent on the share the provider still owns, and an acquisition payment that buys a bit more of that share each month.

The criticism focuses on how that rent is priced. Almost every UK Islamic home finance provider in this data prices rent with reference to a benchmark that tracks the Bank of England base rate, often called BBR, rather than to an independent assessment of local market rents. When the Bank of England raises rates, the "rent" on Islamic home finance products tends to rise at the same time as conventional mortgage interest rates, by a similar amount, on a similar timetable.

Critics, including some respected Islamic scholars and academics who study Islamic finance, argue that this makes the economic substance of the product very close to a conventional mortgage, even though the legal form is a partnership and lease. Their argument is not that partnership structures are fake on paper. It is that if the pricing mechanism simply mirrors interest rate movements, the customer ends up bearing essentially the same interest rate risk they would bear with a conventional mortgage, which is exactly the kind of risk-without-reward the prohibition of *riba* was meant to prevent.

The counter-argument, stated fairly

Providers and the scholars who sit on their Sharia supervisory boards do not see it this way, and their position deserves a fair hearing too.

Their argument starts from a basic point: something has to determine the price of rent, and a benchmark has to be chosen from somewhere. Local market rents are hard to assess property by property, fluctuate unpredictably, and are not standardised

across the UK, which would make consistent, transparent pricing very difficult at national scale. BBR-linked pricing, they argue, is simply the most practical and transparent benchmark available in the current UK financial infrastructure, not evidence of a hidden interest charge.

They also point to a structural difference that survives even when the pricing benchmark looks similar: the underlying contract is genuinely different. In Diminishing Musharaka, the provider is a real co-owner of the property, not a lender. If the property is destroyed, damaged, or falls in value, that loss is shared according to ownership share, in a way a conventional lender's fixed debt is not exposed to. The customer typically is not obligated to keep buying more shares on any fixed schedule, and in principle can pause or slow acquisition, something a conventional mortgage does not allow. Whether these differences are treated as meaningful protections or as legal technicalities that rarely change the outcome in practice is exactly where the two sides disagree.

A closer look at how the benchmark actually moves through the product

It is worth slowing down and tracing exactly how a Bank of England rate change reaches your monthly payment, because this mechanical detail is the entire basis of the criticism.

Say a provider prices its rent at "BBR plus 1.5 percent." If the Bank of England base rate sits at 5.0 percent, your effective rate is 6.5 percent, applied to the share of the property the provider still owns. If the Bank of England raises the base rate to 5.5 percent at its next meeting, the provider's rate moves to 7.0 percent, usually within one or two payment cycles, exactly as a tracker mortgage

would move. The pounds and pence increase on your statement looks, to most customers, indistinguishable from what would happen on a conventional tracker mortgage with the same underlying rate change.

This is precisely why critics use the phrase "economic substance over legal form." A contract can be built from a partnership deed and a separate lease agreement, with genuinely different legal wording from a mortgage deed, and still produce a payment schedule that rises and falls in lockstep with Bank of England policy. The critics' claim is not that the paperwork is fraudulent. It is that if two products respond identically to the same external trigger, in the same direction, by a similar margin, on a similar timetable, then whatever the label says, the customer is bearing the same interest rate risk in both cases. That, they argue, is the substance the prohibition of *riba* was trying to prevent, regardless of what the contract is called.

Names you may encounter in this debate

You do not need to become a specialist to understand this criticism, but you may come across it referenced by name in forums, YouTube videos, or academic articles. Analysts and academics who study Islamic finance from within the tradition, not from outside critics of religion generally, have published critiques along these lines in academic journals and industry commentary for over a decade. Their broad argument, sometimes described as concern about "Sharia-compliant but not Sharia-based" products, is that the industry has, in places, prioritised finding a structure a scholar can sign off on over asking whether that structure changes the customer's actual economic position compared with a conventional loan. This is a mainstream,

published position within Islamic finance scholarship, not a fringe accusation, even though most providers and many other respected scholars disagree with it.

Where reasonable scholars actually disagree

It helps to be precise about what is, and is not, contested:

- **Not seriously contested:** the underlying legal structure (partnership, lease, or sale-based) is genuinely different from a conventional loan contract, and creates different rights and obligations on paper.
- **Contested:** whether BBR-linked rent pricing undermines the spirit of the prohibition of *riba* even while respecting its legal form.
- **Contested:** whether protections like shared ownership risk are meaningful in ordinary practice, given most residential customers never experience a scenario where those protections are actually exercised.
- **Contested:** how independent Sharia supervisory boards really are, when they are typically appointed and paid by the same provider whose products they are approving. This does not mean any specific board has acted improperly. It means the structure creates a natural question about independence that a customer is entitled to ask about directly, which Chapter 9 covers in detail.
- **Broadly agreed, even by critics:** Murabaha-style products, where the provider buys the property and resells it to you at a fixed, disclosed profit margin with no reference to a floating interest-linked benchmark, sit closer to the classical ideal because the total cost is fixed and disclosed upfront, with no exposure to future rate movements. As of February 2026, this

data includes providers offering fixed-rate options that function this way for at least part of their term.

What this means for you, practically

None of this is a reason to assume every product is fine or that none of them are. It is a reason to ask specific, informed questions before choosing one, rather than assuming that "Sharia-compliant" on a brochure settles the matter. Questions worth asking a provider directly include how rent is priced and whether it is linked to BBR, what specifically happens if the property loses value while the provider still owns a share, how the Sharia supervisory board is appointed and whether its decisions and reasoning are published, and whether a fixed-price or fixed-profit-rate option is available if a floating, benchmark-linked structure concerns you. Chapter 11 turns these into a full checklist.

☀ **KEY TAKEAWAYS**

- A serious body of scholarly criticism argues that pricing rent against a Bank of England-linked benchmark makes some Islamic home finance products economically similar to conventional mortgages, despite a different legal structure.
- Providers and their Sharia boards respond that the underlying partnership or lease structure creates real differences, including shared ownership risk, and that a benchmark has to come from somewhere in the current UK financial system.
- The independence of Sharia supervisory boards, which are usually appointed and paid by the provider they oversee, is a fair and reasonable question to ask, not an accusation.
- Fixed-rate, disclosed-profit products sit closer to the classical ideal because they remove exposure to future benchmark movements. As of February 2026, some providers in this data offer this as an option.
- None of this means you should avoid Islamic home finance altogether. It means you should choose with informed eyes and ask the provider direct questions, covered fully in Chapter 11.



CHAPTER 4

The UK landscape

How the UK came to regulate these products at all

Islamic home finance did not fit neatly into UK law when it first arrived. Two problems needed solving before it could exist at any real scale.

The first was tax. A partnership-based or lease-based purchase can, on paper, look like the property changes hands more than once: once when the provider buys it, and again as the customer's ownership share grows. Taken literally, that could have triggered Stamp Duty Land Tax more than once on the same home. UK legislation was changed specifically to fix this, so that "alternative finance" arrangements, the legal term the UK uses for Islamic home finance in tax law, are treated for stamp duty purposes broadly like a conventional purchase, with relief so the customer is not taxed twice for the same transaction.

The second was regulation. A product where a bank co-owns your home and charges you rent, or leases it to you, does not fit the legal definition of a conventional mortgage. The UK created a specific regulated category, the Home Purchase Plan, or HPP, so that products like Diminishing Musharaka and Ijara home finance fall under Financial Conduct Authority oversight in a similar way

to a conventional mortgage. That means an FCA-regulated Home Purchase Plan provider has to meet rules on affordability checks, disclosure, treating customers fairly, and complaint handling, broadly comparable to conventional mortgage regulation, even though the underlying contract is structured differently.

This matters practically. If a provider in this data offers an FCA-regulated Home Purchase Plan, you have access to the Financial Ombudsman Service and the Financial Services Compensation Scheme protections that come with FCA regulation, on top of whatever Sharia governance sits over the product. If you are ever unsure whether a specific product is FCA-regulated, that is a direct, fair question to ask the provider before applying, and Chapter 11 includes it on the checklist.

What FCA regulation actually buys you, in practice

It is worth spelling out what "FCA-regulated" concretely means for a Home Purchase Plan customer, because the phrase gets used often without explanation. If a provider and product are FCA-regulated, the provider must carry out an affordability assessment before offering you finance, similar in spirit to a conventional mortgage affordability check, weighing your income, outgoings, and other commitments rather than simply approving whatever amount you ask for. The provider must give you clear, comparable pre-contract disclosure of costs, fees, and the total amount payable, in a format designed to make it easier to compare across providers. If something goes wrong and the provider cannot resolve your complaint directly, you can escalate free of charge to the Financial Ombudsman Service, an independent complaints body, rather than being limited to legal action. And if the provider itself became insolvent, the Financial Services Compensation

Scheme provides a safety net up to its published limits, in the same way it protects conventional mortgage and savings customers.

None of this replaces Sharia governance, and FCA regulation says nothing at all about whether a product is religiously compliant. The FCA does not assess Sharia compliance and has no view on it. The two systems, financial regulation and Sharia governance, sit alongside each other and answer different questions: one asks "is this fair, transparent, and affordable under UK financial law," and the other asks "does this satisfy Islamic principles." A product can pass one and still leave you with questions about the other, which is exactly why Chapter 9 treats Sharia governance as a separate topic worth its own scrutiny.

A short history of how the market got here

Islamic home finance in the UK is often described as starting in earnest in the early 2000s, when the first Home Purchase Plan legislation and dedicated tax relief were introduced, followed by the licensing of the Islamic Bank of Britain in 2004, which later rebranded as Al Rayan Bank. For roughly a decade, the market was small and dominated by a handful of specialist Islamic banks serving a relatively narrow customer base directly. The 2010s brought a second wave, as international Islamic and Gulf-region banking groups opened UK subsidiaries or Sharia-compliant windows, seeing a UK market that conventional lenders were not serving. The most recent wave, visible clearly in this data, is a cluster of digital-first fintech entrants launched from the late 2010s onward, competing on faster online applications, flexible acquisition payment structures, and niches like shared ownership and buy-to-let special purpose vehicles that older providers were

slower to serve. Understanding this history helps explain why the market today is such a mix of very different kinds of institutions, from century-old-feeling bank bureaucracy to app-based onboarding, all operating under the same broad regulatory umbrella.

Who is actually operating in this market

As of February 2026, this data captures 11 providers offering home finance products in the UK, and they are not all the same kind of institution. Roughly, they fall into a few groups.

Full Islamic banks hold a UK banking licence and offer Islamic home finance alongside current accounts, savings, and sometimes business banking. Al Rayan Bank and Gatehouse Bank are the two most established names of this kind in the UK retail market, and both appear in this data with home finance products.

UK arms of international Islamic or Gulf-region banks bring an existing overseas Islamic banking business into the UK market. This data includes several: QIB UK and Ahli United, and this data also separately lists an entry for "Ahli United(Kuwait bank)", which may reflect a parent-subsidiary relationship or a data entry distinction worth confirming directly with the provider rather than assumed. Nomo, listed here as "Nomo (BLME)", operates as a digital-first Islamic bank connected to Bank of London and The Middle East, BLME, which also appears separately in this data.

Newer fintech and specialist entrants have appeared to compete on speed, digital application experience, or specific niches such as buy-to-let or shared ownership. Offa, StrideUp, Pfida, and Wayhome fall into this category in the data, each with a different angle: some focus on faster underwriting, others on part-

buy part-rent structures for buyers who cannot yet afford full home finance.

Building societies and mutuals are a smaller but growing presence. Some UK building societies now offer Sharia-compliant home finance alongside their conventional mortgage book, usually through a Home Purchase Plan structure run in partnership with a Sharia advisory panel.

Not every name in the full appendix is a home finance provider. Several, including Wahed Invest, Cur8 Capital, Minted, Yielders, and Foresters Financial, appear in this data as savings, investment, or Sharia-compliant investment platforms rather than home finance providers, and are covered properly in Chapter 10.

A quick snapshot of the market shape

As of February 2026, here is how the 23 home finance products in this data break down by the underlying contract model. The exact mechanics of each model are explained fully in Chapter 5.

CONTRACT MODEL	APPROXIMATE SHARE OF PRODUCTS IN THIS DATA
Diminishing Musharaka	Majority of products
Ijara (lease-based)	A meaningful minority
Murabaha (fixed-price sale)	A smaller minority, mostly offered as one option among several by a given provider

AS OF FEBRUARY 2026

This lopsided mix is not an accident. Diminishing Musharaka has become the dominant model in the UK partly because its co-ownership structure maps more naturally onto FCA's Home Purchase Plan framework and onto the way UK conveyancing and

land registration already work, and partly because it is generally seen as more flexible for the customer, since ownership can, in principle, be accelerated or slowed depending on the product's specific terms.

Why the landscape keeps shifting

This market is still young compared to conventional UK mortgage lending, and it shows. Providers enter and exit, minimum deposit requirements move, and new digital-first entrants regularly try to undercut established banks on speed or fees. A product or provider missing from this chapter simply may not have existed, or may not have been captured, at the time of the February 2026 snapshot. Always check the current market directly before assuming this list is complete or unchanged.

 KEY TAKEAWAYS

- UK tax law was specifically amended so Islamic home finance is not taxed twice on the same property purchase, under the legal category of "alternative finance."
- Most Islamic home finance in the UK is regulated by the FCA under the Home Purchase Plan framework, which gives customers access to the Financial Ombudsman Service and FSCS protections similar to conventional mortgages.
- As of February 2026, this data covers 11 providers, ranging from established Islamic banks to international bank subsidiaries to newer fintech entrants and a growing number of building societies.
- Diminishing Musharaka is the dominant contract model in this market, though Ijara and Murabaha-based products exist and suit different circumstances, covered in Chapter 5.
- The market is young and changes quickly. Confirm a provider's current regulatory status and product range directly before applying.



CHAPTER 5

The contract models explained plainly

Why this chapter uses a worked example

Terms like Diminishing Musharaka and Ijara can sound abstract until you see them applied to an actual number. This chapter uses one consistent example throughout: a £300,000 property, with a customer putting down a 20 percent deposit of £60,000, leaving £240,000 to be financed. The figures are illustrative only, built to show how each structure behaves, not a quote from any specific provider. Real pricing, deposit requirements, and fees vary by provider and are covered in Chapter 6.

Diminishing Musharaka: buying the house together

Musharaka means partnership. In a Diminishing Musharaka home finance contract, you and the provider jointly buy the property. In the example, the provider puts in £240,000 (80 percent) and you put in £60,000 (20 percent), so the provider owns 80 percent of the home and you own 20 percent from day one.

Each month, two things happen at once:

1. **You pay rent on the share of the property you do not yet own.**
If the provider owns 80 percent, you pay rent calculated on that 80 percent share, similar to renting that portion of the home from a landlord.
2. **You buy a bit more of the provider's share, called an acquisition payment.** This gradually shifts ownership from the provider to you.

As your ownership share grows and the provider's share shrinks, the rent portion of your payment shrinks too, because there is less of the property left to rent. By the end of the term, you have bought 100 percent of the provider's original share, you own the property outright, and there is no more rent to pay because there is no more of the property left that isn't yours.

This is why it is called "diminishing": the provider's share diminishes every month until it reaches zero. It is the dominant model in this data, used by the majority of UK Islamic home finance providers, generally because it maps well onto UK land registration, where both parties can be registered as legal co-owners.

Ijara: leasing with a path to ownership

Ijara means lease. In an Ijara structure, the provider buys the property outright and then leases it to you for an agreed rent. Using the same example, the provider owns £240,000 worth of the property and you pay rent on that amount for the length of the lease.

Depending on how the specific product is structured, an Ijara arrangement can work in one of two broad ways. In some structures, you build up a separate ownership stake over time

through additional payments, similar in spirit to Diminishing Musharaka but legally organised as a lease with a parallel ownership plan rather than a single co-ownership contract. In others, sometimes called *Ijara Muntahia Bittamleek*, or lease ending in ownership, the property is transferred to you at the end of the lease term, once all payments have been made, through a separate sale or gift at that point.

The practical difference most customers notice compared to Diminishing Musharaka is in how ownership and risk are framed on paper. In a pure lease structure, you are more clearly a tenant of the provider's property until the point of transfer, whereas in Diminishing Musharaka you hold a registered ownership share from the very first month.

Murabaha: an agreed price, fixed from day one

Murabaha means a cost-plus sale. Here, the provider buys the property for £240,000 and then immediately resells it to you at a higher, but fixed and fully disclosed, total price, say £300,000 including profit, which you then pay off in instalments over the agreed term. There is no rent, no partnership, and no floating benchmark. The total amount you will pay is fixed and known from the day you sign.

This is the structure most often pointed to in Chapter 3's discussion of fixed-price options that sit closer to the classical ideal, precisely because the total cost is agreed upfront and does not move if the Bank of England changes interest rates during your term. The tradeoff is usually less flexibility: because the price is fixed for the whole term, Murabaha products are less commonly offered with the kind of payment flexibility, such as accelerating

your ownership share, that some Diminishing Musharaka products allow.

Following the £300,000 example through the years

Numbers make this concrete in a way that words alone cannot. Continuing the Diminishing Musharaka example from above, where the provider starts by owning 80 percent (£240,000) and you own 20 percent (£60,000), here is roughly how the balance of ownership might shift over a 25-year term, assuming a simplified, level acquisition schedule with no overpayments and no benchmark change, purely to illustrate the mechanics.

YEAR	PROVIDER'S REMAINING SHARE	YOUR OWNERSHIP SHARE	ROUGHLY WHAT HAPPENS TO YOUR MONTHLY RENT PORTION
Year 1	About 78%	About 22%	Rent charged on close to 78% of the property
Year 10	About 55%	About 45%	Rent charged on a shrinking base, close to 55%
Year 20	About 20%	About 80%	Rent charged on a small remaining base, close to 20%
Year 25	0%	100%	No rent left to pay, you own the property outright

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This table is illustrative only, built to show the shape of the mechanism, not a quote from any real product. In practice, acquisition schedules, overpayment options, and any benchmark movement in the rent rate all change these numbers, sometimes considerably, and different providers structure the acquisition curve differently. The consistent pattern across providers, though, is the direction: your ownership share rises and the rent-bearing

share falls every single month, arriving at full ownership by the end of the agreed term, exactly as the "diminishing" in the name describes.

What happens if you want to leave early

A question worth asking before signing anything is what happens if you want to sell the property, remortgage elsewhere, or pay off the remaining balance early. Conventional mortgages often carry an early repayment charge during any fixed-rate period, and Islamic home finance products vary on this point too. Some providers in this data explicitly advertise no early repayment charge at all, which can matter a great deal if your circumstances might change during the term. Others apply a charge similar in spirit to a conventional early repayment charge, usually reducing or disappearing after an initial fixed period ends. Because this varies by provider and is not standard across the market, it belongs on your list of direct questions in Chapter 11 rather than something you should assume either way.

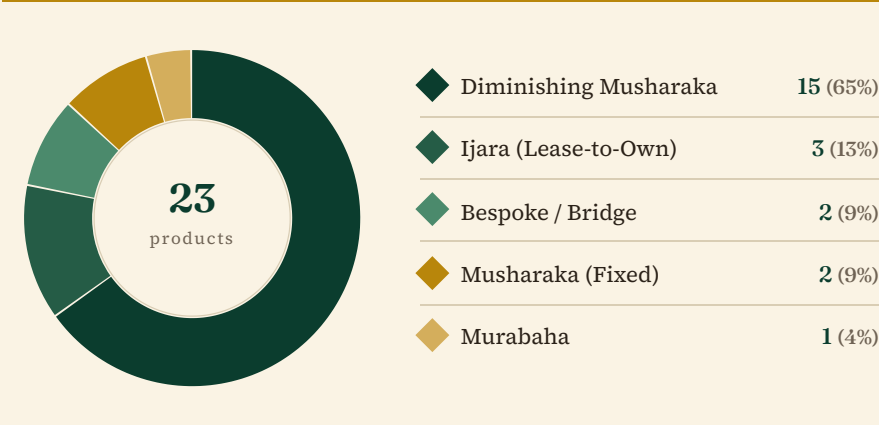
Side by side

As of February 2026, here is how the three models compare on the features that matter most to a typical buyer.

FEATURE	DIMINISHING MUSHARAKA	IJARA	MURABAHA
Who legally owns the property during the term	Co-owned by customer and provider, shares shift over time	Usually the provider, until transfer	Customer, immediately after the resale completes
How the price is set	Rent, often linked to a benchmark like BBR, plus acquisition payments	Rent, often linked to a benchmark like BBR	One fixed, disclosed total price agreed upfront
Exposure to future rate changes	Yes, through the rent component	Yes, through the rent component	No, once the price is fixed
Common in this data	Majority of the 23 home finance products	A meaningful minority	A smaller minority, often offered alongside another model
Best suited to	Buyers who want a registered ownership stake from day one	Buyers comfortable with a lease-first structure	Buyers who most want to avoid any exposure to future rate changes

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Figure 1 Contract models across the 23 UK home finance products



Diminishing Musharaka accounts for 65 percent of products in the snapshot.

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 KEY TAKEAWAYS

- Diminishing Musharaka is a co-ownership structure where you and the provider jointly own the property and you buy out the provider's share gradually while paying rent on the part you don't yet own.
- Ijara is a lease-based structure where the provider typically owns the property and leases it to you, with ownership transferring at or building towards the end of the term depending on the specific product.
- Murabaha is a fixed-price resale: the provider buys the property and resells it to you at one agreed, disclosed price with no floating benchmark exposure.
- As of February 2026, Diminishing Musharaka is the dominant model in the UK, though all three exist in this data and suit different priorities.
- If avoiding any exposure to future interest rate movements matters most to you, a Murabaha or other fixed-price structure is worth asking about directly, as covered in Chapter 3.



CHAPTER 6

Meet the providers

How to read this chapter

Each profile below covers what a provider actually offers in this data, its Sharia governance model, and its transparency category, a rating already assigned in the underlying data as High, Medium, or Low based on how openly the provider publishes its Sharia governance and pricing information. This is not a ranking of religious legitimacy. A Low transparency category does not mean a product is not Sharia-compliant. It means the provider publishes less detail publicly about how compliance is checked, which affects how easily you, as a customer, can verify things yourself. **All figures below are as of February 2026.** Always confirm current terms directly with the provider.

Al Rayan Bank

One of the UK's longest-established Islamic banks, offering three home finance products in this data: a Standard Home Purchase Plan for owner-occupiers using Diminishing Musharaka with fixed and variable pricing options, a Premier Home Finance product for high-net-worth buyers using a Murabaha structure with a fixed

profit rate, and a buy-to-let purchase plan. Sharia governance runs through Al Rayan's own dedicated Sharia Supervisory Committee, chaired by Mufti Barkatulla, an internal board rather than an external certifier. Transparency category: Medium.

Gatehouse Bank

The most extensively represented provider in this data, with five distinct products covering standard residential, a green residential option with a small pricing discount for energy-efficient homes, and three buy-to-let variants including a rent-only Ijara structure and a specialist HMO and multi-unit freehold block product. Every product is externally certified by Amanah Advisors, with the green product's certification specifically credited to Mufti Faraz Adam. Transparency category: High across all five products, the most consistent High rating of any provider in this data.

StrideUp

A newer entrant offering three products aimed at flexibility: an "Inclusive HPP" with lump-sum or flexible acquisition payments, a "Bank of Family and Friends" product structured around gifted deposits, and a buy-to-let product for special purpose vehicles and limited companies. Two of the three are externally certified by Amanah Advisors, with the family and friends product specifically citing Mufti Faraz Adam. Transparency category: High for the two residential-facing products, Medium for the buy-to-let SPV product.

Wayhome

Offers a single shared ownership product using a fixed Musharaka structure with stepwise "staircasing," meaning your ownership share increases in defined steps rather than continuously, and rent is calculated on the portion you have not yet staircased into. Notable for a fee-free option and a low minimum deposit of 5 percent. Sharia governance is externally certified by Amanah Advisors. Transparency category: High.

Pfida

Offers "OwnTogether," a fixed Musharaka product with flexible lump-sum or ongoing acquisition payments and pricing tied to market rent rates rather than a fixed benchmark. Pfida describes itself as operating a peer-to-peer or fintech-style model, with Sharia governance from an Islamic Council external to the company, and notably advertises no early repayment charge and no late payment fees. Transparency category: High.

Offa

A specialist provider offering a buy-to-let Diminishing Musharaka product, branded Alburaq, and a short-term residential bridging product structured with a fixed profit rate for terms as short as one month up to 24 months. Sharia governance is externally certified, by Amanah Advisors for the buy-to-let product and by Mufti Faraz Adam for the bridging product. Transparency category: Medium for both.

Ahli United and Ahli United (Kuwait bank)

This data lists two related entries under Ahli United, both branded "Al-Manzil" and both structured as Ijara (lease-to-own) buy-to-let products, one described as a monthly-purchase repayment variant and one as a rent-only variant with a shorter term of up to 7 years. Both cite an internal Sharia audit department rather than external certification, and both product URLs point to KFH's UK site, reflecting the wider Kuwait Finance House group structure. As flagged in Chapter 4, if you are dealing with a provider using either of these names, confirm directly which specific legal entity and Sharia governance structure applies to the exact product you are being offered. Transparency category: Low for both.

UBL UK

Offers a single portfolio buy-to-let product for larger, multi-property landlords, using Diminishing Musharaka with variable pricing and higher, portfolio-specific fees reflecting the scale of the lending involved. Sharia governance is credited to Mufti Barkatulla acting as an independent external chair. Transparency category: Medium.

QIB UK

Offers a single bespoke Home Purchase Plan aimed at high-net-worth and investment buyers, with a flexible structure, a minimum finance size of £1m and no stated upper cap, and fixed or variable pricing agreed on a bespoke basis. Sharia governance runs through QIB's wider group internal governance framework

rather than an external certifier. Transparency category: Low, the lowest in this data alongside the two Ahli United entries and QIB's own KFH-linked product URL.

ADIB UK

The most represented single-brand provider by product count after Gatehouse, with four products: two residential Home Purchase Plans split by residency status, one for UK residents and one for international or GCC-based buyers, plus two buy-to-let purchase plans, one for individuals and one for limited companies or special purpose vehicles. All four price using a SONIA-linked variable margin, SONIA being the Sterling Overnight Index Average, a standard UK interest rate benchmark, which is directly relevant to the pricing-benchmark critique discussed in Chapter 3. Governance is described as "Both," meaning an internal ADIB Sharia Board combined with external Sharia audits. Transparency category: Low across all four products, despite the combined governance model, reflecting how little pricing and certification detail is published for these specific products.

A note on scale

The minimum finance sizes across this data vary enormously, from Al Rayan's £50,000 minimum on its Standard HPP to ADIB's £500,000 minimum across all four of its products. If you are a first-time buyer with a modest deposit, some providers in this data, including ADIB and parts of Ahli United's and QIB's range, are unlikely to be relevant to you at all regardless of how their products compare on paper. Chapter 8 turns this kind of practical filtering into a step-by-step process.

What "transparency category" actually measures, and what it does not

Because this rating appears repeatedly across this chapter and the next, it is worth being precise about what it captures. The underlying data assigns each product a category of High, Medium, or Low based on how much detail the provider makes publicly available about two things: its Sharia governance arrangements, meaning whether an identifiable scholar or board is named, whether that board is internal or external to the company, and whether any reasoning or ongoing review process is published, and its pricing structure, meaning whether the benchmark, margin, and fee schedule are disclosed clearly enough for an outside reader to reconstruct how the price is actually calculated.

A High rating generally means an external, named Sharia certifier with published credentials, alongside a reasonably clear pricing breakdown. A Low rating generally means an internal Sharia audit function with no named external scholar disclosed publicly, alongside a pricing structure that requires a direct enquiry to fully understand. This is a transparency measure, not a compliance measure. A provider with a Low transparency category may run an entirely rigorous internal Sharia compliance process; it simply publishes less about it. The practical consequence for you as a customer is straightforward even if the underlying religious question is not: the less a provider publishes, the more legwork falls on you to ask direct questions and get satisfactory answers before committing, which is exactly what Chapter 9 and Chapter 11 help you do.

Reading between the provider profiles

A few patterns are worth naming out loud after reading through all 11 profiles. First, external certification by a small number of named Sharia advisory firms, particularly Amanah Advisors, and named individual scholars, particularly Mufti Faraz Adam and Mufti Barkatulla, recurs across multiple unrelated providers in this data. This is normal in a specialist field with a limited pool of qualified Sharia scholars working in Islamic finance, but it also means the same scholar's judgment sits behind several competing products, which is worth knowing if you were assuming each provider's Sharia sign-off was fully independent of every other provider's. Second, the newer, digital-first entrants in this data, Wayhome, Pfida, and StrideUp among them, generally sit at the High end of the transparency category, likely because transparency and clear digital disclosure are part of how they compete for customers against older, more established institutions. Third, the providers with the largest overseas banking group parentage, ADIB UK and both Ahli United entries, sit at the Low end in this data, which may simply reflect a banking culture built for markets where this kind of public disclosure is less expected, rather than anything about the underlying product itself.

☀ KEY TAKEAWAYS

- As of February 2026, this data captures 11 named provider entries offering 23 home finance products between them, ranging from long-established Islamic banks to fintech-style newer entrants.
- Gatehouse Bank has the widest product range in this data and the most consistently High transparency category, largely due to external certification by Amanah Advisors across its full range.
- ADIB UK, QIB UK, and both Ahli United entries carry a Low transparency category in this data, which reflects publicly available detail, not a judgment on religious legitimacy.
- Minimum finance sizes vary from £50,000 to £500,000-plus across providers, which will immediately rule some providers in or out depending on your budget.
- Where a provider uses a SONIA or BBR-linked variable pricing structure, revisit Chapter 3's discussion of the benchmark-pricing critique before assuming "Sharia-compliant" settles every question you might have.



Head-to-head comparison

How to use these tables

The tables in this chapter group the 23 home finance products in this data by who they are actually for, since a product that looks attractive on paper may simply not be open to you depending on your deposit, budget, or purpose. **All figures below are as of February 2026** and are illustrative for comparison, not a live quote. Confirm current terms directly with any provider before applying. "Transparency category" reflects how much detail the provider publishes about Sharia governance and pricing, rated High, Medium, or Low in the underlying data, not a judgment on religious legitimacy.

Residential, owner-occupied: buying a home to live in

This is the largest single category in the data, with 8 products, and the one most first-time and next-time buyers will look at first.

Provider	Product	Contract Model	Max LTV (Min Deposit)	Finance Range	Term	Pricing	Transparency
Al Rayan Bank	Standard HPP	Diminishing Musharaka	80% (20% deposit)	£50k–£2m	7–35 yrs	Fixed & variable	Medium

Gatehouse Bank	Residential HPP	Diminishing Musharaka	95% (5% deposit)*	£75k-£5m	5-40 yrs	2/5 yr fixed	High
StrideUp	Inclusive HPP	Diminishing Musharaka	85% (15% deposit)	£50k-£1.5m	10-40 yrs	2/5 yr fixed	High
StrideUp	Bank of Fam/Friends	Diminishing Musharaka	85% (gifted deposit)	£50k-£1.5m	10-40 yrs	Fixed/variable	High
Wayhome	Shared Ownership	Musharaka (Fixed)	95% (5% deposit)	£150k-£500k*	Flexible	Rent-based	High
Pfida	OwnTogether	Musharaka (Fixed)	85% (15% deposit)	£50k-£400k	N/A (partnership)	Market rent rate	High
ADIB UK	Residential HPP (UK resident)	Diminishing Musharaka	75% (25% deposit)	£500k-£10m+	5-25 yrs	SONIA + margin (variable)	Low
ADIB UK	Residential HPP (International/GCC)	Diminishing Musharaka	65% (35% deposit)	£500k-£10m+	6-25 yrs	SONIA + margin (variable)	Low

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*Gatehouse's 5% deposit and Wayhome's 5% deposit figures carry an asterisk in the source data, meaning conditions apply. Always confirm the small print on any deposit figure below roughly 10 to 15 percent, since this usually reflects a specific scheme, eligibility criteria, or a shared ownership structure rather than a universally available rate.

A first-time buyer with a modest deposit and a property under £500,000 will find most of their realistic options at the top of this table. ADIB's residential products, with a £500,000 minimum, are simply not reachable for smaller purchases regardless of how they compare otherwise.

Buy-to-let: financing a rental property

Eight products in this data target individual buy-to-let landlords, plus one portfolio-specific product and one limited company or

SPV-specific product, covered separately below.

PROVIDER	PRODUCT	CONTRACT MODEL	MAX LTV (MIN DEPOSIT)	FINANCE RANGE	TERM	PRICING	TRANSPARENCY
Al Rayan Bank	BTL Purchase Plan	Diminishing Musharaka	75% (25% deposit)	£50k–£2m	7–30 yrs	Variable (rental)	Medium
Gatehouse Bank	BTL Repayment	Diminishing Musharaka	80% (20% deposit)	£75k–£5m	5–30 yrs	Fixed/variable	High
Gatehouse Bank	BTL Rent-Only	Ijara (Lease-to-Own)	75% (25% deposit)	£75k–£5m	5–30 yrs	Rental-only	High
StrideUp	BTL (SPV/Ltd Co)	Diminishing Musharaka	80% (20% deposit)	£100k–£2m	5–30 yrs	Fixed/variable	Medium
Offa	BTL (Alburaq)	Diminishing Musharaka	80% (20% deposit)	£60k–£5m	7–40 yrs	Fixed/variable	Medium
Ahli United (Kuwait bank)	Al-Manzil BTL Repay	Ijara (Lease-to-Own)	65% (35% deposit)	£250k–£2m+	8–25 yrs	Variable (rental)	Low
Ahli United	Al-Manzil BTL Rent	Ijara (Lease-to-Own)	65% (35% deposit)	£250k–£2m+	Up to 7 yrs	Rental-only	Low
ADIB UK	BTL Purchase Plan (Individual)	Diminishing Musharaka	75% (25% deposit)	£500k–£10m+	7–25 yrs	Rental rate (variable)	Low

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Landlords with a smaller portfolio and a lower minimum loan size will find more options at Al Rayan, Gatehouse, Offa, and StrideUp, all of which finance from £50,000 to £100,000. The two Ahli United entries and ADIB require considerably larger deposits, 35 percent and 25 percent respectively, and higher minimum loan sizes, reflecting a focus on larger, higher-value rental properties.

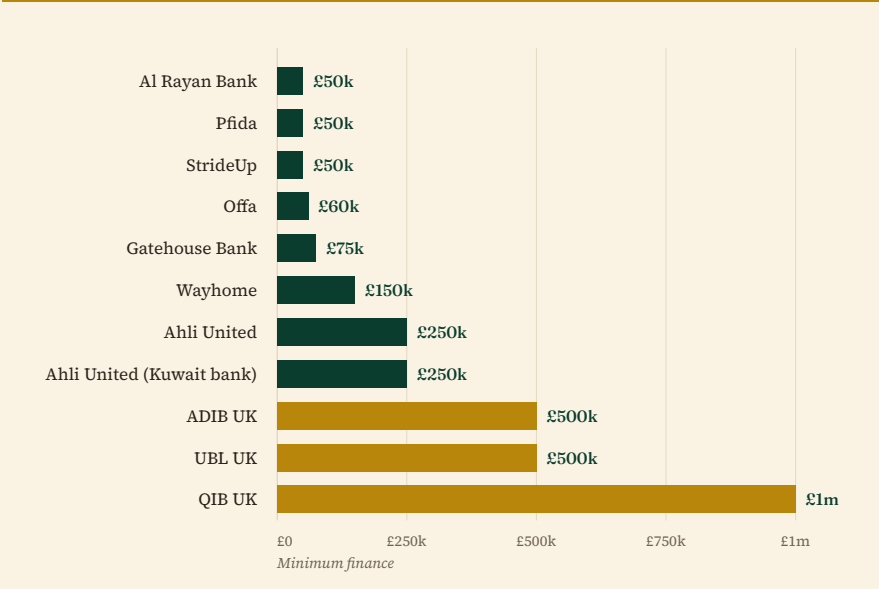
Specialist and higher-value categories

The remaining 5 products in this data serve narrower needs, each essentially a category of one or two in this dataset.

CATEGORY	PROVIDER	PRODUCT	CONTRACT MODEL	MIN DEPOSIT	FINANCE RANGE	NOTES
High net worth / investment	Al Rayan Bank	Premier Home Finance	Murabaha	25%	£1m–£5m+	Fixed profit rate, negotiable term, bespoke pricing
High net worth / investment	QIB UK	HNW Custom HPP	Bespoke / Bridge	25%	£1m–uncapped	5–10 yr term, fixed or variable
Residential, green/eco	Gatehouse Bank	Green Residential HPP	Diminishing Musharaka	10%	£75k–£5m	Small pricing discount for energy-efficient homes
Specialist BTL (HMO/MUFB)	Gatehouse Bank	HMO / MUFB BTL	Diminishing Musharaka	25%	£75k–£5m	Risk-adjusted rate; higher arrangement fees
Residential, short-term/bridge	Offa	Residential Bridge	Bespoke / Bridge	25% net FTV	£100k–£5m	1 to 24 month term; fixed profit rate
Buy-to-let, portfolio	UBL UK	Portfolio BTL	Diminishing Musharaka	25%	£500k–£5m+	Larger, multi-property landlords
Buy-to-let, limited co/SPV	ADIB UK	BTL Purchase Plan (SPV/Corporate)	Diminishing Musharaka	35%	£500k–£20m+	8–25 yr term

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Figure 2 Lowest minimum finance size, by provider



The smallest amount each provider will finance across any of its products. Often the fastest practical filter. **AS OF FEBRUARY 2026**

Reading the fee side, not just the headline rate

Headline pricing, whether expressed as a benchmark plus margin or a fixed profit rate, is only part of the real cost of any of these products, and it is worth pausing on the fee side specifically because it is easy to overlook when comparing tables like the ones above. Most providers in this data charge some combination of an arrangement or facility fee, typically a percentage of the finance amount or a flat sum in the low thousands, a valuation fee to have the property professionally assessed, and legal fees for the provider's own conveyancing work alongside your own. Some products, notably Pfida's OwnTogether, explicitly advertise the absence of certain fees, such as early repayment charges and late

payment fees, as a selling point, which tells you those fees are common enough elsewhere in the market to be worth advertising the lack of.

Because this data captures product structure rather than a live, itemised fee schedule for every product, treat the fee side as an open question for every product on your shortlist rather than an assumption. Two products with an identical headline rate can end up meaningfully different in total cost once arrangement fees, valuation fees, and legal costs are added, particularly on larger finance amounts where percentage-based fees scale up quickly. Ask each provider on your shortlist for a full, itemised cost breakdown in writing before comparing them against each other, not just the headline rate quoted on their website.

What jumps out across the whole dataset

A few patterns are worth naming directly. Diminishing Musharaka dominates every category except the two smaller Ahli United Ijara products and the two bespoke high-net-worth or bridging products. Deposit requirements below 15 percent are rare and, where they exist, come with an asterisk worth reading carefully. And transparency category correlates loosely with how established and consumer-facing a provider is: Gatehouse, StrideUp, Wayhome, and Pfida, all of which rely on external Sharia certification, sit at High, while the larger international-bank-linked entries, ADIB, QIB, and both Ahli United products, sit at Low.

None of this tells you which product is "best." It tells you which products are even available to you, which is the necessary first filter before Chapter 8's decision framework.

 KEY TAKEAWAYS

- As of February 2026, residential owner-occupier and individual buy-to-let products each account for 8 of the 23 products in this data, with the remaining 7 spread across high-net-worth, green, HMO, bridging, portfolio, and SPV categories.
- Deposit requirements below 15 percent exist but are the exception, and often carry conditions signalled by an asterisk in the source data.
- Diminishing Musharaka is the contract model behind the large majority of products across every buyer category.
- Minimum finance size is often the fastest practical filter: providers like ADIB and both Ahli United entries are simply out of reach for smaller purchases, regardless of how their terms compare.
- Use this chapter to identify which 2 to 4 products are actually realistic for your situation before comparing them in detail using Chapter 8's framework.



CHAPTER 8

How to actually choose

Start by filtering, not comparing

The instinct when facing 23 products is to try to compare all of them at once. That is the wrong order. Most of the 23 will never be relevant to you, and comparing them properly takes real effort, so the first job is to filter the list down to the 2 to 4 products that are actually available to you, based on facts about your situation rather than opinions about which provider is "best."

Work through these filters in order.

Filter 1: What are you actually buying, and how? Chapter 7 grouped products into residential owner-occupied, individual buy-to-let, portfolio buy-to-let, limited company or SPV buy-to-let, high-net-worth, green or eco, HMO or multi-unit, and short-term bridging. Pick the category that matches your actual purchase. If you are buying a home to live in, the residential owner-occupied products are your starting list of 8. Everything else can be set aside immediately.

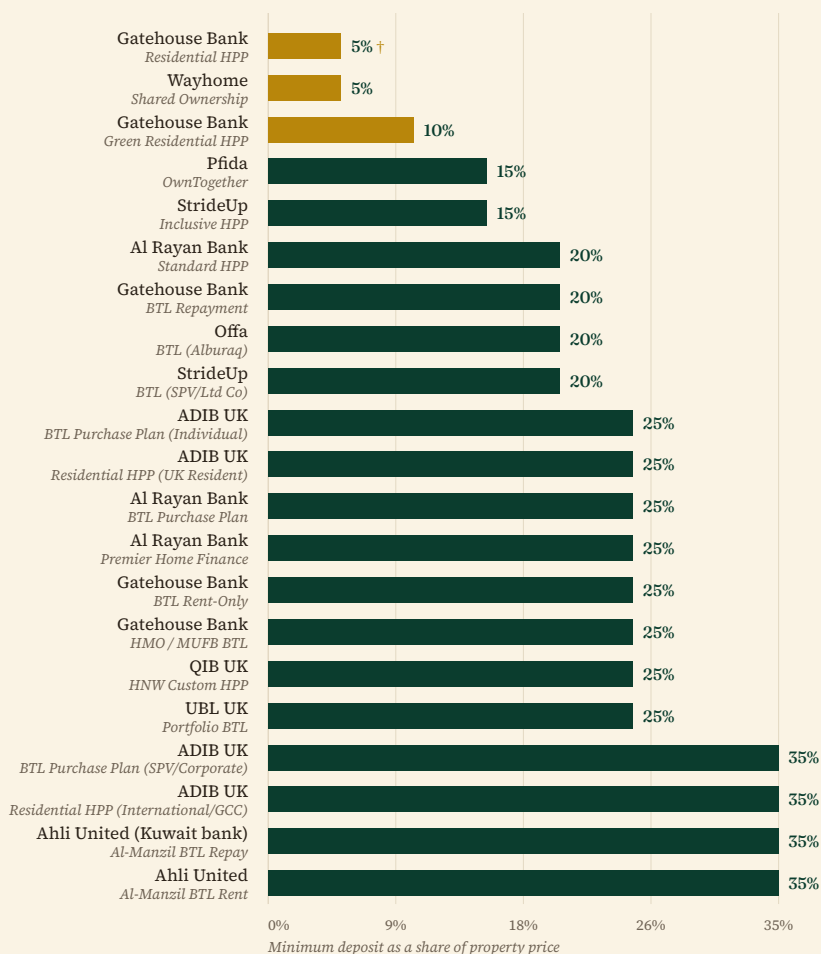
Filter 2: Does your deposit clear the minimum? As of February 2026, deposit requirements in the residential owner-occupied category in this data range from 5 percent (Gatehouse Bank, Wayhome, both flagged with conditions) up to 35 percent (ADIB

UK's international/GCC product). If your deposit is 15 percent, ADIB's two residential products, which require 25 and 35 percent, are out regardless of anything else about them.

Filter 3: Does your loan size fit the provider's range? A provider's minimum and maximum finance amounts are not negotiable in most cases. If you need to finance £180,000, ADIB's £500,000 minimum rules it out immediately, while Al Rayan, StrideUp, Wayhome, and Pfida's ranges all comfortably include it.

Filter 4: Does the term length work for your age and plans? Term lengths in this data range from short bridging finance of 1 to 24 months up to 40-year residential terms at Gatehouse and StrideUp. A longer term usually means lower monthly payments but a longer overall commitment, which matters more the closer you are to typical retirement age, since most providers expect the finance to be repaid well before then.

By this point, you should realistically be looking at somewhere between 2 and 5 products, not 23.

Figure 3 Minimum deposit required, by product

21 of 23 products state a minimum deposit. A dagger marks a figure carrying conditions in the source data. Median for owner-occupier products is 20 percent.

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Now compare what's left, on the things that actually matter

Once you have a short list, compare on these dimensions specifically, in roughly this order of importance for most buyers.

1. Total realistic cost, not headline pricing. A fixed 2- or 5-year pricing period, offered by Gatehouse, StrideUp, and others in this data, gives you certainty for that period but exposes you to repricing afterward. A variable, benchmark-linked structure moves with the market from day one. Ask each shortlisted provider for an illustrative total cost over 5 years and over the full term, not just the headline rate, so you are comparing like with like.

2. Fees. Application fees, arrangement fees, and valuation fees vary widely in this data, from Al Rayan's flat £399 application fee to Gatehouse's percentage-based buy-to-let arrangement fees of 1.5 to 2 percent, to StrideUp's flat £1,249 product fee. On a smaller loan, a percentage-based fee can end up cheaper than a fixed fee, and vice versa on a larger one. Always ask for the fee in pounds, not just the percentage, for your specific loan amount.

3. Early repayment and flexibility. Several products in this data, including Al Rayan's Standard HPP and BTL Purchase Plan and Offa's buy-to-let product, explicitly advertise no Early Repayment Charge. Gatehouse's Residential HPP, by contrast, notes that an ERC applies. If there is any realistic chance you will want to overpay, remortgage, or sell within the fixed pricing period, this is worth confirming directly, since it can materially change the real cost of switching later.

4. Sharia governance and transparency category. Chapter 6 covered this for each provider. If independent verification of

Sharia compliance matters to you personally, and for many buyers it does, weigh a High transparency category, generally meaning external certification by a named body like Amanah Advisors, more heavily. If you are comfortable relying on an internal Sharia board's own oversight, a Medium or Low transparency category in this data does not necessarily disqualify a provider, but you should make that a conscious choice rather than an accident of not asking.

5. Contract model, in light of Chapter 3's critique. If the benchmark-pricing critique from Chapter 3 matters to you, this is where it becomes concrete. Products priced against SONIA or another interest rate benchmark, such as ADIB's residential and buy-to-let range in this data, sit on the side of that debate you should weigh carefully. A Murabaha product with a fixed profit rate, such as Al Rayan's Premier Home Finance, sits on the other side, at the cost of the higher minimum finance size that product carries.

Fixed versus variable pricing, and how to think about the tradeoff

One decision tends to matter more than almost any other on your shortlist: whether to take a fixed pricing period, a variable benchmark-linked rate, or a fully fixed Murabaha profit rate for the whole term. It helps to think about this less as "which is objectively better" and more as a question about your own tolerance for uncertainty and your view of where rates are headed.

A fixed period, commonly 2 or 5 years in this data, gives you a known monthly payment for that stretch of time, which makes budgeting easier and protects you if rates rise during the fixed

period. The cost is that fixed pricing is usually set slightly higher than the equivalent variable rate at the moment you sign, since the provider is pricing in the risk that rates might move against it during the fixed term, and you face a full repricing, at whatever rates look like then, once the fixed period ends. A variable rate moves with the market from the outset, which can work in your favour if rates fall, but leaves your monthly payment less predictable and, per Chapter 3's critique, most exposed to the concern about benchmark-linked pricing behaving like a conventional mortgage. A fixed Murabaha profit rate for the whole term removes this decision entirely: you know the total cost from day one, for better or worse, and it will not change regardless of what happens to Bank of England policy over the following years.

There is no universally correct answer here. A buyer who values certainty and plans to stay in the property for the full term is generally well served by locking in as much fixed pricing as they can access, even at a small premium. A buyer who expects rates to fall, or who expects to move, remortgage, or sell within a few years anyway, may reasonably prefer the flexibility of a variable rate or a shorter fixed period. What matters is making this choice deliberately, with the tradeoff named explicitly, rather than defaulting to whatever a provider's sales process presents first.

A second worked example, at the higher end of the market

The first-time buyer example above is not the only kind of reader this book serves. Consider a buyer purchasing a £1.2 million property with a £300,000 deposit, needing to finance £900,000. Running the same filters: this immediately moves outside the residential owner-occupied products with sub-£1m maximums,

such as Wayhome and Pfida, and into the high-net-worth category covered in Chapter 7, where Al Rayan's Premier Home Finance (Murabaha, fixed profit rate, £1m to £5m-plus) and QIB UK's HNW Custom HPP (bespoke, £1m upward) both remain live candidates, alongside Gatehouse's Residential HPP and StrideUp's Inclusive HPP, both of which extend up to a £1.5m to £5m ceiling depending on the specific product. This buyer's real decision is less about deposit eligibility, since a 25 percent deposit clears every relevant threshold, and more about the fixed-versus-variable tradeoff discussed above, plus how much they value Al Rayan's fully fixed Murabaha profit rate against QIB UK's more flexible but Low-transparency bespoke structure.

A simple worked filter

Take a first-time buyer in the UK with a £40,000 deposit, wanting to buy a £250,000 home, needing to finance £210,000, on a standard residential purpose. Running the filters: category is residential owner-occupied (8 candidates). Deposit of 16 percent clears every product except those requiring 20 percent or more with no asterisked lower option, ruling out ADIB's two products. Loan size of £210,000 sits comfortably within Al Rayan, Gatehouse, StrideUp (both products), Wayhome, and Pfida's ranges. That leaves 6 realistic candidates, which is a genuinely comparable shortlist rather than an overwhelming list of 23.

☀ **KEY TAKEAWAYS**

- Filter before you compare: purpose, deposit, loan size, and term will usually cut 23 products down to a handful within minutes.
- Compare what is left on total realistic cost, fees in pounds not just percentages, early repayment flexibility, Sharia governance transparency, and contract model.
- A fixed-pricing or fixed-profit product trades certainty now for less flexibility later. A variable, benchmark-linked product trades flexibility for exposure to future rate movements.
- None of this replaces speaking directly to a shortlisted provider and, ideally, an independent financial adviser, before applying.
- As of February 2026, this filtering approach applied to a modest deposit and typical loan size in this data still leaves several genuinely different products to choose between, not just one obvious answer.



CHAPTER 9

Sharia governance and transparency

What a Sharia supervisory board actually does

Every product in this data claims to be Sharia-compliant, but that claim rests on some form of oversight, usually one or more qualified Islamic scholars reviewing a provider's contracts, structures, and processes and issuing a fatwa, a scholarly opinion, that a specific product meets Islamic requirements. This oversight can be organised in a few different ways, and the difference matters more than most marketing material lets on.

An internal Sharia board is appointed and paid directly by the provider. The scholars sit inside or closely alongside the institution, review its products, and sign off on them. Al Rayan Bank, Ahli United's two Al-Manzil products, QIB UK, and part of ADIB UK's governance in this data all rely on this model.

External certification means an outside body, independent of the provider's day-to-day operations, reviews and certifies the product. Amanah Advisors appears repeatedly in this data, certifying products from Gatehouse Bank, StrideUp, Wayhome, and Offa. Named individual scholars, such as Mufti Faraz Adam or Mufti Barkatulla, also appear either as external certifiers for

specific products or as internal board members, depending on the provider and product.

A **combined model**, used by ADIB UK across all four of its products in this data, pairs an internal board with external audits, described in the data as "Both."

Why this distinction is not just paperwork

An internal board is not automatically less rigorous than an external one. Reputable internal boards, staffed by genuinely qualified scholars, can and do apply real scrutiny. But the structural point raised in Chapter 3 stands regardless of how conscientious any specific board is: a scholar appointed and paid by the institution whose products they are reviewing has less structural independence than a scholar whose income does not depend on that specific institution's approval. This is not an accusation against any named scholar or board in this data. It is a reasonable, fair question about incentive structures that applies to internal governance in any industry, not just Islamic finance.

External certification does not eliminate this concern entirely, since certifiers are still typically paid by the provider seeking certification, but it does introduce a body whose reputation depends on certifying multiple providers credibly over time, rather than one whose entire relationship is with a single institution.

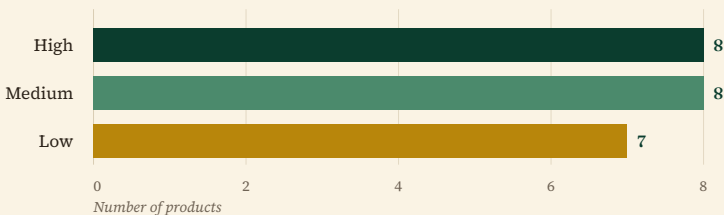
Transparency category, explained

Each product in this data carries a "Transparency Category" of High, Medium, or Low. Based on the data and the explanations provided alongside it, this reflects how much detail a provider

publishes about who reviews its products and how, and to a lesser extent how clearly its pricing structure is disclosed. It is not, and should not be read as, a direct measure of religious legitimacy. A Low transparency category can sit alongside a real, functioning internal Sharia board. It simply means less of that process is visible to an outside customer trying to check it independently.

As of February 2026, this data shows a fairly clear pattern: providers relying primarily on external certification by named bodies like Amanah Advisors, Gatehouse Bank, StrideUp, Wayhome, and Pfida, cluster at High. Providers relying primarily on internal boards without an external counterpart named in the data, Ahli United's two products and QIB UK, cluster at Low. ADIB UK, despite its combined internal-and-external model, is also recorded at Low across all four products, which suggests the transparency rating in this data is driven more by what is publicly disclosed than by the governance structure alone.

Figure 4 Transparency category across home finance products



Transparency reflects how much a provider publishes about governance and pricing, not religious legitimacy. 35 percent of products sit at High.

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How Sharia review actually happens, in practice

It helps to demystify what a Sharia review process usually looks like, since the phrase "certified Sharia-compliant" can otherwise

feel like a black box. Typically, a provider's legal and product teams draft the contract structure for a new product, covering the ownership split, the rent or profit calculation, and what happens in default or early exit scenarios. That draft goes to the Sharia board or external certifier, who reviews it against classical contract requirements, checking things like whether the ownership transfer is genuine and not merely nominal, whether the rent is tied to an identifiable, permissible basis, and whether any penalty or default clause avoids compounding in a way that would itself resemble interest. The board or certifier then issues a fatwa, usually in writing, either approving the structure, requiring specific changes before approval, or rejecting it outright. Once approved, most providers commit to periodic re-review, particularly if the product's terms change materially, though how often this happens and how publicly it is documented varies considerably and is not something this data captures in detail for every provider.

This process is genuinely more substantive than a rubber stamp in most cases, requiring real legal and structural work before a scholar will sign off. The Chapter 3 critique is not that this process is fake. It is that even a genuine, careful review process operating on an internally appointed board still leaves a structural independence question unaddressed, and that the review criteria themselves, particularly around benchmark-linked pricing, remain a live scholarly disagreement rather than a settled question that a fatwa can simply close.

What published fatwas and certification actually look like when you find them

If you go looking, some providers do make this documentation available. Gatehouse Bank and other Amanah Advisors-certified providers in this data typically reference a Sharia compliance certificate on their websites or in product documentation, sometimes including the certifying scholar's name and credentials, and occasionally a short summary of the structure reviewed. This is worth actually reading if you can find it, not just noting that it exists, since the summary itself can tell you which specific features of the contract, ownership share calculation, rent basis, or early exit terms, the certifier focused their review on. If a provider cannot produce anything beyond a general assurance that "our products are Sharia-compliant" when asked directly, that absence is itself useful information, regardless of which transparency category the product carries in this data.

Questions worth asking any provider directly

Regardless of a product's transparency category, you are entitled to ask a provider, before applying, who specifically sits on the Sharia board or certifying body reviewing this exact product, whether their fatwa or approval for this product is published or available on request, whether the board or certifier is paid a fixed fee unrelated to loan volume or is compensated in a way tied to the products they approve, and how the board or certifier's decisions get updated if the product's terms change later. A provider that answers these clearly and specifically, whatever governance

model it uses, is telling you something useful about how seriously it takes the question.



KEY TAKEAWAYS

- Sharia governance in this data takes three forms: internal boards appointed by the provider, external certification by an independent body such as Amanah Advisors, or a combined model.
- Internal governance is not automatically less rigorous, but it carries a structural independence question worth asking about directly, since the scholars are appointed and paid by the institution they are reviewing.
- Transparency category, rated High, Medium, or Low in this data, measures how much governance and pricing detail is publicly disclosed, not the underlying religious legitimacy of a product.
- As of February 2026, Gatehouse Bank, StrideUp, Wayhome, and Pfida rate High in this data, largely through external certification, while Ahli United's two products and QIB UK rate Low.
- Ask any shortlisted provider directly who reviews their specific product, whether that review is published, and how it is compensated. A clear, specific answer is itself informative.



CHAPTER 10

Beyond the mortgage, halal savings

Why this chapter matters even if you already have a deposit

Most of this book focuses on financing the purchase itself, but for many readers the more immediate problem is building a deposit in the first place, or deciding what to do with money sitting in an account while you wait for the right property. This data includes 31 savings and investment products from providers you have already met, like Al Rayan Bank and Gatehouse Bank, and several you have not, since not every name in the appendix offers home finance. **All figures below are as of February 2026.**

The first thing to understand: profit rate, not interest rate

Islamic savings accounts do not pay interest, because paying a guaranteed return purely for holding money is exactly the *riba* discussed in Chapter 2. Instead, most bank-based accounts in this data operate on a *Wakala* or *Mudaraba* basis, meaning the bank

uses your deposit in Sharia-compliant trading or investment activity and shares a portion of the actual profit generated with you. In practice, providers publish an "expected profit rate," a forecast rather than a guarantee, which functions similarly to an interest rate for comparison purposes, though the underlying mechanism is different and, in principle, not fixed in advance.

Instant access: 10 products for money you might need quickly

If you need to keep your deposit liquid, ready to move at short notice once you find a property, this is the most relevant category, with 10 products in this data.

PROVIDER	TYPE	PRODUCT	MIN DEPOSIT	PROFIT PAID	FSCS PROTECTED	TRANSPARENCY
Al Rayan Bank	Bank	Everyday Saver (Issue 3)	£5,000	Monthly	Yes	High
Gatehouse Bank	Bank	Easy Access Account	£1	Annually	Yes	High
Nomo (BLME)	Fintech	Instant Access Saver	£1,000	Monthly	Yes	High
UBL UK	Bank	Islamic Easy Access	£2,000	Monthly	Yes	Medium
QIB (UK)	Bank	Personal Instant Access	Not stated	Quarterly	Yes	Medium
Habib Bank Zurich	Bank	Sirat Savings Account	Not stated	Semi-annually	Yes	Medium
KFH PLC (UK)	Bank	Current Account (GBP)	~\$100k equivalent*	Varies	Yes (£120k)	High
KFH PLC (UK)	Bank	Call Investment Account	£5,000	Semi-annually	Yes (£120k)	High
Wahed Invest	Investment	Physical Gold				

		Portfolio	£50	Upon exit	No (commodity)	High
Minted	Fintech	Gold Monthly Plan	£30/month	Upon exit	No (bullion)	Medium

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Most of these products are FSCS protected up to the standard UK limit, meaning your deposit is protected the same way a conventional bank deposit would be if the institution failed. The two gold-based products from Wahed Invest and Minted are structurally different, since you are buying physical gold rather than depositing cash, so FSCS protection does not apply in the same way. KFH's Current Account has a notably high minimum, roughly the equivalent of \$100,000, marked with an asterisk in the source data, making it relevant mainly to higher-net-worth savers rather than someone building a first deposit.

Fixed term: 9 products for money you can lock away

If you have a firm purchase timeline and want a higher expected profit rate in exchange for giving up access, this category covers terms from as short as one week to as long as 7 years.

PROVIDER	PRODUCT	DURATION	MIN DEPOSIT	PROFIT PAID	FSCS PROTECTED
Al Rayan Bank	Fixed Term Deposit	1–5 yrs	£5,000	At maturity	Yes
Gatehouse Bank	Fixed Term Woodland	6 months–5 yrs	£1,000	At maturity	Yes
Gatehouse Bank	Regular Saver	12 months	£1 (up to £300/mo)	At maturity	Yes
BLME	Premier Deposit Account	3 months–7 yrs	£25,000	At maturity	Yes
Nomo (BLME)	Fixed Term Deposit	3–12 months	£5,000	At maturity	Yes
UBL UK	Fixed Rate Cash ISA	1–5 yrs	£2,000 (up to £20,000/yr)	At maturity	Yes
Habib Bank Zurich	Sirat Fixed Term Deposit	1–12 months	Not stated	At maturity	Yes
KFH PLC (UK)	Wakala Fixed Deposit	1 week–12 months	£50,000	At maturity	Yes (£120k)
Yielders	Property Portfolio	3–5 yrs	£100	Monthly	No (equity)

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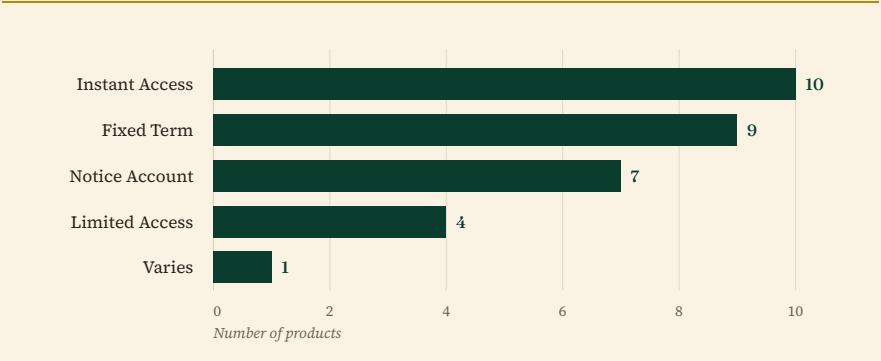
Gatehouse's Regular Saver stands out for accessibility, a £1 minimum with regular monthly contributions up to £300, well suited to someone building a deposit gradually rather than depositing a lump sum. Yielders sits apart from the rest of this table: it is a property-backed investment platform rather than a bank deposit, so it carries no FSCS protection and real capital risk,

in exchange for the possibility of higher returns tied to actual property performance.

Notice accounts and limited access: a middle ground

Seven notice account products and four limited access products round out the data, generally requiring a set notice period, commonly 31 to 120 days, before you can withdraw, in exchange for a better expected profit rate than pure instant access. Cur8 Capital's GBP Income Fund and Innovative Finance ISA both fall here, alongside Simply Ethical's Shariah Cash ISA and Managed Portfolios, Wahed Invest's Everyday Shariah Account, and Foresters Financial's Shariah ISA and Shariah Lifetime ISA, the latter specifically designed for either retirement at 60 or a first home purchase, with UK government top-ups typical of Lifetime ISAs generally.

Figure 5 Halal savings products by liquidity category



All 31 savings products in the snapshot, grouped by how quickly you can reach the money. **AS OF FEBRUARY 2026**

Building a deposit with more than one product at once

Many readers will not park their entire deposit fund in a single account. A common, sensible pattern is to split savings across an instant access account, held for money you might need at very short notice once an offer is accepted, and a fixed term or notice account paying a better expected profit rate, held for the portion of your deposit you are confident you will not need for at least several months. Some readers will also want to keep an eye on tax-advantaged products specifically, since two entries in this data, UBL UK's Fixed Rate Cash ISA and Foresters Financial's Shariah ISA and Shariah Lifetime ISA, sit inside the UK's ISA tax wrapper, meaning profit earned within the ISA annual allowance is not subject to UK income tax, on top of being structured to avoid *riba*. The Shariah Lifetime ISA specifically is worth a closer look for a first-time buyer, since standard Lifetime ISA rules include a UK government bonus on contributions when the funds are used towards a first home, which can meaningfully accelerate deposit building if you meet the eligibility criteria.

Gold and property-backed products, and why they behave differently

Wahed Invest's Physical Gold Portfolio, Minted's Gold Monthly Plan, and Yielders' Property Portfolio deserve a separate mention because they work on a fundamentally different principle from every bank deposit product in this chapter. Rather than depositing cash and receiving a share of trading profit, you are buying an actual asset, gold bullion in the first two cases and a share of real property in the third, and your return depends entirely on what

that asset does in the market. Gold has historically been seen by some Muslim savers as a stable, tangible store of value outside the banking system entirely, though its price can still move up or down over any given period, and Minted's £30 per month plan in particular is structured as a gradual accumulation product rather than a lump-sum purchase, which suits someone building exposure over time rather than depositing a deposit fund all at once. Yielders' property portfolio, by contrast, ties your return to the performance of actual UK property, which for a reader who is also trying to buy their own home may feel like a natural fit conceptually, but it is worth remembering this is genuine investment risk, not a savings account, and your capital is not guaranteed to be returned in full.

A word on FSCS protection

This is one of the most important practical distinctions across all 31 products. A standard bank savings account, including every entry from Al Rayan, Gatehouse, BLME, Nomo, UBL UK, Habib Bank Zurich, QIB, and KFH in this data, carries FSCS protection, meaning your money is protected up to the standard UK compensation limit if the bank fails. Investment-style products, including Wahed Invest's accounts, Minted's gold plan, Yielders' property portfolio, Cur8 Capital's funds, and the Foresters Financial and Simply Ethical investment products, generally do not carry this protection, because you are buying an asset or a fund unit rather than making a bank deposit. Higher potential returns on these products come with real capital risk that a savings account does not carry. Raisin UK's Shariah Savings Hub, a marketplace product in this data with a Low transparency category, is described as FSCS protected on the deposit itself, but

as a marketplace connecting you to underlying providers, it is worth confirming exactly which institution is holding your money and under what protection before depositing.

Figure 6 FSCS protection across the 31 savings products



Deposit-based bank products are generally covered. Investment, gold, property, and IF-ISA style products generally are not.

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☀ KEY TAKEAWAYS

- Islamic savings accounts pay an expected profit rate generated through Sharia-compliant activity, not a guaranteed interest rate, though providers publish a forecast rate for comparison purposes.
- As of February 2026, this data includes 10 instant access, 9 fixed term, 7 notice account, 4 limited access, and 1 marketplace savings or investment product, 31 in total.
- Bank deposit products are generally FSCS protected up to the standard UK limit. Gold, property, and fund-based investment products generally are not, and carry real capital risk in exchange for potentially higher returns.
- Gatehouse's Regular Saver and similar low-minimum, regular-contribution products are well suited to gradually building a deposit rather than depositing a lump sum.
- Always confirm current minimums, terms, and protection status directly with the provider, since this is a snapshot from February 2026, not live data.



CHAPTER 11

Red flags, common mistakes, and questions to ask a provider

Red flags worth taking seriously

None of the 23 home finance products or 31 savings products in this data show obvious signs of the issues below, but these are worth knowing regardless of which provider you approach, since this data is a snapshot from February 2026 and any market changes over time.

A provider that cannot explain its own contract model in plain English. If you ask a relationship manager to explain how their Diminishing Musharaka or Ijara structure actually works, in the kind of terms Chapter 5 used, and they cannot do it without reading from a script or deflecting to "it's all Sharia-compliant, don't worry," that is a reasonable reason to be cautious. A genuinely well-run provider should be able to walk you through the mechanics.

Pricing that is not clearly disclosed until late in the application. Every product in this data lists a defined pricing structure, whether fixed, variable, benchmark-linked, or rent-

based. If a provider will not give you a written illustration of total cost before you commit to an application fee, that is worth pushing back on.

Reluctance to name who reviews their Sharia compliance. As covered in Chapter 9, this data includes both internal and external governance models, and both can be legitimate. What is not reasonable is a provider that will not tell you, when asked directly, who sits on their Sharia board or which external body certifies their products.

Pressure to sign quickly, especially around a rate or fee "expiring." This is a general consumer finance red flag, not specific to Islamic finance, but it applies here too. A legitimate provider should be comfortable with you taking time to compare, ask questions, or seek independent advice.

Common mistakes buyers make

Assuming "Islamic" or "Sharia-compliant" settles every question. Chapter 3 covered this in depth. The label tells you a scholar has approved the contract structure. It does not automatically tell you the pricing is competitive, the fees are reasonable, or the provider is transparent about how it operates. Do the comparison work in Chapters 7 and 8 regardless.

Comparing headline pricing without comparing fees. A product with a lower headline profit rate but a high percentage-based arrangement fee can end up more expensive overall than one with a slightly higher rate and a flat, modest fee, particularly on smaller loan amounts. Always ask for a total cost illustration, in pounds, for your specific loan size and term.

Not checking the minimum finance size before falling in love with a product. Several products in this data, ADIB UK's four

products and UBL UK's portfolio product among them, carry minimums of £500,000 or more. Confirm you clear the minimum before spending time comparing pricing detail.

Ignoring early repayment terms. If there is any realistic chance your circumstances will change, a job move, an inheritance, a decision to sell, within the fixed pricing period, the presence or absence of an Early Repayment Charge, flagged for several products in this data, can matter as much as the headline rate.

Treating a Low transparency category as automatically disqualifying, or a High one as automatically superior. Transparency category reflects public disclosure, not necessarily religious legitimacy or product quality, as discussed in Chapter 9. Use it as one input, not a verdict.

Forgetting that this data is a snapshot. Every figure, rate, fee, and minimum in this book was captured as of February 2026. Rates and terms in Islamic finance, as in conventional finance, move with the market. Always request current figures before applying anywhere.

A short story of how a good decision actually goes

It can help to picture the whole process end to end rather than as a list of isolated warnings. A careful buyer starts, as Chapter 8 suggests, by filtering on purpose, deposit, and loan size, arriving at a shortlist of three or four products rather than trying to weigh all 23 at once. They request a written, itemised cost illustration from each shortlisted provider, covering the fixed period and the full term, in pounds rather than only as a headline percentage, and they compare those illustrations side by side rather than relying on memory of a phone call. They ask each provider, directly and without apologising for asking, who reviews the

product for Sharia compliance and whether that review is published. They read the small print on any Early Repayment Charge, particularly if their own circumstances feel at all uncertain over the fixed period. And only once all of that is in hand do they involve an independent, FCA-authorized financial adviser and, if it matters to them personally, their own trusted source of Islamic scholarship, to sanity-check the final choice before signing. None of these steps individually is difficult. Skipping several of them at once, usually under time pressure, is how buyers end up somewhere they later regret.

The cost of comparing too little, in real terms

It is worth being blunt about what happens when a buyer skips this process. A percentage-based arrangement fee difference of even half a percentage point, on a £250,000 loan, is worth well over £1,000 on its own, before any difference in the ongoing rate is even considered. An Early Repayment Charge discovered only after deciding to move house within the fixed period can run into several thousand pounds depending on how much of the term remains. None of these costs are hidden in the sense of being illegal or undisclosed, in the products captured in this data. They are disclosed, in the documentation every provider is required to provide under FCA rules discussed in Chapter 4. But disclosed and noticed are two different things, and the entire point of this chapter's checklist is making sure you actually notice them before, not after, you commit.

Questions worth asking any provider, gathered in one place

Pulling together the questions raised across earlier chapters, before applying anywhere, it is reasonable to ask a provider directly: what specific contract model does this product use, and can you explain how it works in plain terms; what is the total cost, in pounds, over the fixed pricing period and over the full term, for my specific loan amount; what fees apply, in pounds rather than only as a percentage; is there an Early Repayment Charge, and under what circumstances; who reviews this specific product for Sharia compliance, and is that review published or available on request; and what is the current minimum deposit, minimum and maximum finance size, and term range for this exact product today.

A provider that answers all of these clearly, specifically, and without hesitation is telling you something valuable about how it operates, regardless of which specific contract model or governance structure it uses.

☀ **KEY TAKEAWAYS**

- Red flags to watch for include an inability to explain the contract model plainly, undisclosed pricing, reluctance to name Sharia reviewers, and pressure to sign quickly.
- The most common buyer mistake is assuming the "Sharia-compliant" label alone answers every question, when Chapters 3, 7, and 8 show real differences in pricing, fees, and structure between compliant products.
- Always compare total cost in pounds, not just headline rates, and confirm minimum finance size before comparing further.
- Transparency category is one useful input among several, not a final verdict on a provider's legitimacy or quality.
- Every figure in this book, and every answer a provider gives you, should be treated as time-stamped. Confirm current terms directly before applying anywhere.



CHAPTER 12

Glossary

This chapter gathers every term used across the book in one place, so you can look something up quickly without hunting back through earlier chapters. Each definition matches how the term was introduced and used earlier in this guide.

Riba. The Arabic term for interest or usury, prohibited in Islamic finance because it is seen as an unearned, guaranteed return on money that shifts risk unfairly onto the borrower. Explained in Chapter 2.

Sharia. Islamic religious law, which sets out the principles that Islamic finance products must comply with, including the prohibition on riba. Explained in Chapter 2.

Diminishing Musharaka. A joint ownership, or "partnership," contract in which the bank and the customer both buy a share of the property, the customer pays rent on the bank's share, and each payment gradually shifts a larger share of ownership to the customer until they own the property outright. The most common contract model in this data, used across most home finance categories. Explained in Chapter 5.

Ijara. A lease, or "lease-to-own," contract in which the bank owns the property and the customer pays rent for a defined period, with an option or mechanism to acquire ownership over time or at the end of the term. Used by Gatehouse Bank's rent-only buy-to-let product and both Ahli United Al-Manzil products in this data. Explained in Chapter 5.

Murabaha. A cost-plus-profit sale contract in which the bank buys an asset and resells it to the customer at an agreed, fixed markup, repaid in instalments, with the profit margin fixed at the outset rather than tied to a floating benchmark. Used by Al Rayan Bank's Premier Home Finance product in this data. Explained in Chapter 5.

Wakala. An agency contract in which the customer appoints the bank as an agent to invest their deposit in Sharia-compliant activity on their behalf, common in savings products, including KFH's Wakala Fixed Deposit in this data. Referenced in Chapter 10.

Mudaraba. A profit-sharing partnership contract, common in savings products, in which the bank invests deposited funds and shares actual profit generated with the depositor, rather than paying a guaranteed rate. Referenced in Chapter 10.

Sharia Supervisory Committee, or Sharia board. A body of qualified Islamic scholars who review and approve a provider's contracts and structures, either as an internal board appointed by the provider or as an external, independent certifying body. Explained in Chapter 9.

Transparency category. A rating of High, Medium, or Low assigned in the underlying data, reflecting how much detail a provider publicly discloses about its Sharia governance and pricing, not a measure of religious legitimacy. Explained in Chapter 9.

Diminishing Musharaka—“diminishing” share. The bank's ownership share, which reduces with each payment as the customer's share grows, distinct from a conventional mortgage where the lender never holds any ownership stake at all. Explained in Chapter 5.

Home Purchase Plan, or HPP. The common name in this data and across the UK market for an Islamic home finance product that serves the same practical purpose as a conventional mortgage, typically structured as Diminishing Musharaka. Used throughout Chapters 6 and 7.

Loan-to-value, or LTV. The proportion of a property's value being financed, with the remainder covered by the customer's deposit. Expressed in this data as, for example, "80% (20% deposit)." Used throughout Chapter 7.

SONIA. The Sterling Overnight Index Average, a standard UK interest rate benchmark used by some providers in this data, including ADIB UK, to set variable pricing on Islamic finance products. Discussed critically in Chapter 3 and referenced in Chapters 6 and 7.

Early Repayment Charge, or ERC. A fee some providers charge if a customer repays their finance early or within a fixed pricing period, flagged as present or absent for specific products in this data. Discussed in Chapters 7 and 8.

FSCS, or Financial Services Compensation Scheme. The UK scheme that protects eligible deposits up to a standard limit if a financial institution fails. Most bank-based savings products in this data carry this protection; most investment-style products, including gold, property, and fund products, do not. Explained in Chapter 10.

Special purpose vehicle, or SPV. A limited company set up specifically to hold a property or portfolio of properties, commonly used by buy-to-let landlords, and referenced in several buy-to-let products in this data aimed at limited companies rather than individuals. Referenced in Chapters 6 and 7.

HMO, or House in Multiple Occupation, and MUFB, or Multi-Unit Freehold Block. Specialist property types involving multiple separate lettable units, covered by Gatehouse Bank's specialist buy-to-let product in this data. Referenced in Chapter 7.

Innovative Finance ISA, or IF-ISA. A UK tax-advantaged savings wrapper for investment-based, rather than deposit-based, products, used by Cur8 Capital's product in this data. Referenced in Chapter 10.

Lifetime ISA. A UK tax-advantaged savings account, available in a Sharia-compliant form from Foresters Financial in this data, designed to help savers either buy a first home or save for retirement from age 60, with a government bonus added to qualifying contributions. Referenced in Chapter 10.

Bank Purchase Plan, or BPP. An alternative name occasionally used in the UK market for a Home Purchase Plan structured on a Diminishing Musharaka or Ijara basis, referring to the same regulated FCA product category discussed in Chapter 4.

Alternative finance. The precise legal and tax terminology the UK uses for Islamic and Sharia-compliant finance arrangements, chosen so that legislation could be written neutrally rather than specifically naming a religion, discussed in Chapter 4 in the context of Stamp Duty Land Tax relief.

Fatwa. A formal scholarly opinion or ruling issued by a qualified Islamic scholar or Sharia board, used in this context to approve a specific financial product's structure as compliant with Islamic law. Discussed in Chapter 9.

Amanah Advisors. An external Sharia advisory and certification firm that appears repeatedly in this data, certifying products from Gatehouse Bank, StrideUp, Wayhome, and Offa. Referenced in Chapters 6, 7, and 9.

Staircasing. A term used in shared ownership arrangements, including Wayhome's product in this data, describing the process of buying additional, defined steps of ownership in a property over time, increasing the customer's share and reducing the amount of rent paid on the remaining share.

Financial Ombudsman Service, or FOS. An independent, free complaints resolution service available to customers of FCA-regulated financial products, including most Home Purchase Plans discussed in this data, if a dispute with the provider cannot be resolved directly. Referenced in Chapter 4.

Financial Conduct Authority, or FCA. The UK regulator responsible for authorising and supervising financial services firms, including most Home Purchase Plan providers referenced throughout this data. Explained in Chapter 4.

Expected profit rate. The forecast, non-guaranteed rate of return a bank publishes for a Wakala or Mudaraba-based savings product, functioning similarly to an interest rate for comparison purposes but not fixed or guaranteed in the way a conventional savings rate is. Explained in Chapter 10.

Net freehold to value, or net FTV. A deposit or equity measure used specifically in Offa's residential bridging product in this data, similar in spirit to loan-to-value but calculated against the net freehold value of the property for short-term bridging purposes. Referenced in Chapter 7.

A closing note

✧ PLEASE NOTE

This guide has tried to do two things at once: explain Islamic home finance and savings clearly enough for a complete beginner to follow, and stay grounded in an actual, dated dataset of 23 home finance products and 31 savings products rather than generic claims about the market. Every figure, rate, and provider detail in this book reflects the snapshot taken as of February 2026, captured from the underlying MySharia Provider Database. Terms, rates, and providers in this market change, so treat every specific figure here as a starting point for your own research and direct conversations with providers, not a final answer. This book is educational content, not regulated financial advice, and nothing here should be substituted for advice from a suitably qualified, independent financial adviser familiar with your specific circumstances.





APPENDIX

The February 2026 data snapshot

This appendix is a condensed view of the dataset behind every figure, table, and chart in this book, extracted from *MySharia-Provider-Database.xlsx* on 2026-02-01. Product URLs, fee notes, and the long-form Sharia governance descriptions are omitted here for space; they sit in the source dataset and in the relevant chapters. A dagger marks a figure that carries conditions in the source data.

Home finance products (23)

PROVIDER	PRODUCT	USAGE	CONTRACT	MIN DEP.	FINANCE RANGE	TERM (YRS)	TRANSP.
Al Rayan Bank	Standard HPP	Residential (Owner-Occupied)	Diminishing Musharaka	20%	£50k–£2m	7 to 35	Medium
Al Rayan Bank	Premier Home Finance	High Net Worth / Investment	Murabaha	25%	£1m–£5m	Negotiable	Medium
Al Rayan Bank	BTL Purchase Plan	Buy-to-Let (Individual)	Diminishing Musharaka	25%	£50k–£2m	7 to 30	Medium
Gatehouse Bank	Residential HPP	Residential (Owner-					

		Occupied)	Diminishing Musharaka	5% †	£75k–£5m	5 to 40	High
Gatehouse Bank	Green Residential HPP	Residential (Green/Eco)	Diminishing Musharaka	10%	£75k–£5m	5 to 40	High
Gatehouse Bank	BTL Repayment	Buy-to-Let (Individual)	Diminishing Musharaka	20%	£75k–£5m	5 to 30	High
Gatehouse Bank	BTL Rent-Only	Buy-to-Let (Individual)	Ijara (Lease-to-Own)	25%	£75k–£5m	5 to 30	High
Gatehouse Bank	HMO / MUFB BTL	Specialist BTL (MUFB/HMO)	Diminishing Musharaka	25%	£75k–£5m	5 to 30	Medium
StrideUp	Inclusive HPP	Residential (Owner-Occupied)	Diminishing Musharaka	15%	£50k–£1.5m	10 to 40	High
StrideUp	Bank of Fam/Friends	Residential (Owner-Occupied)	Diminishing Musharaka	Not stated	£50k–£1.5m	10 to 40	High
StrideUp	BTL (SPV/Ltd Co)	Buy-to-Let (Individual)	Diminishing Musharaka	20%	£100k–£2m	5 to 30	Medium
Wayhome	Shared Ownership	Residential (Owner-Occupied)	Musharaka (Fixed)	5%	£150k–n/s	Flexible	High
Pfida	OwnTogether	Residential (Owner-Occupied)	Musharaka (Fixed)	15%	£50k–£400k	N/A (Partnership)	High
Offa	BTL (Alburaq)	Buy-to-Let (Individual)	Diminishing Musharaka	20%	£60k–£5m	7 to 40	Medium
Offa	Residential Bridge	Residential (Short-Term/Bridge)	Bespoke / Bridge	Not stated	£100k–£5m	1 to 24 months	Medium
Ahli United (Kuwait bank)	Al-Manzil BTL Repay	Buy-to-Let (Individual)	Ijara (Lease-to-Own)	35%	£250k–£2m	8 to 25	Low
Ahli United	Al-Manzil BTL Rent	Buy-to-Let (Individual)	Ijara (Lease-to-Own)	35%	£250k–£2m	Up to 7 yrs	Low
UBL UK	Portfolio BTL	Buy-to-Let (Portfolio)	Diminishing Musharaka	25%	£500k–£5m	5 to 25	Medium
QIB UK	HNW Custom HPP	High Net Worth / Investment	Bespoke / Bridge	25%	£1m–n/s	5 to 10	Low

	Resident)	Residential (Owner-Occupied)	Diminishing Musharaka	25%	£500k- £10m	5 to 25	Low
ADIB UK	Residential HPP (International/GCC)	Residential (Owner-Occupied)	Diminishing Musharaka	35%	£500k- £10m	6 to 25	Low
ADIB UK	BTL Purchase Plan (Individual)	Buy-to-Let (Individual)	Diminishing Musharaka	25%	£500k- £10m	7 to 25	Low
ADIB UK	BTL Purchase Plan (SPV/Corporate)	Buy-to-Let (Limited Co/SPV)	Diminishing Musharaka	35%	£500k- £20m	8 to 25	Low

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Halal savings products (31)

PROVIDER	PRODUCT	LIQUIDITY	MIN DEPOSIT	PROFIT PAID	FSCS	TRANSP.
Al Rayan Bank	Everyday Saver (Issue 3)	Instant Access	£5k	Monthly	Yes	High
Al Rayan Bank	Fixed Term Deposit	Fixed Term	£5k	At Maturity	Yes	High
Al Rayan Bank	Notice Accounts	Notice Account	£250	Monthly	Yes	High
Gatehouse Bank	Easy Access Account	Instant Access	£1	Annually	Yes	High
Gatehouse Bank	Fixed Term Woodland	Fixed Term	£1k	At Maturity	Yes	High
Gatehouse Bank	Notice Accounts	Notice Account	£1k	Monthly	Yes	High
Gatehouse Bank	Regular Saver	Fixed Term	£1	At Maturity	Yes	High
BLME	90 Day Notice Account	Notice Account	£10k	Quarterly	Yes	High
BLME	Premier Deposit Account	Fixed Term	£25k	At Maturity	Yes	High
Nomo (BLME)	Instant Access Saver	Instant Access	£1k	Monthly	Yes	High
Nomo (BLME)	Fixed Term Deposit	Fixed Term	£5k	At Maturity	Yes	High

QIB (UK)	Personal Instant Access	Instant Access	Not Stated	Quarterly	Yes	Medium
QIB (UK)	Personal Notice Account	Notice Account	Not Stated	Quarterly	Yes	Medium
UBL UK	Islamic Easy Access	Instant Access	£2k	Monthly	Yes	Medium
UBL UK	Fixed Rate Cash ISA	Fixed Term	£2k	At Maturity	Yes	Medium
Habib Bank Zurich	Sirat Savings Account	Instant Access	Not Stated	Semi-Annually	Yes	Medium
Habib Bank Zurich	Sirat Fixed Term Deposit	Fixed Term	Not Stated	At Maturity	Yes	Medium
Wahed Invest	Everyday Shariah Account	Limited Access	£100	Quarterly	No (Investment)	High
Wahed Invest	Physical Gold Portfolio	Instant Access	£50	Upon Exit	No (Commodity)	High
Cur8 Capital	GBP Income Fund	Notice Account	£5k	Monthly	No (Asset-backed)	High
Cur8 Capital	Innovative Finance ISA	Notice Account	£5k	Monthly	No (IF-ISA)	High
Minted	Gold Monthly Plan	Instant Access	£30/mo	Upon Exit	No (Bullion)	Medium
Yielders	Property Portfolio	Fixed Term	£100	Monthly	No (Equity)	Medium
Foresters Financial	Shariah ISA (Managed)	Limited Access	£20/mo	Annually	No (Investment)	Medium
Foresters Financial	Shariah Lifetime ISA	Limited Access	£20/mo	Annually	No (Investment)	Medium
Simply Ethical	Managed Portfolios	Limited Access	£500	Reinvested	No (Investment)	Medium
Simply Ethical	Shariah Cash ISA	Notice Account	£1k	Monthly	Yes (Bank-backed)	Medium
Raisin UK	Shariah Savings Hub	Varies	£1k	Varies	Yes (Deposit)	Low
KFH PLC (UK)	Current Account (GBP)	Instant Access	\$100k (equiv)*	Varies	Yes (£120k)	High
KFH PLC (UK)	Call Investment Account	Instant Access	£5k	Semi-Annually	Yes (£120k)	High
KFH PLC						

(UK)	Wakala Fixed Deposit	Fixed Term	£50k	At Maturity	Yes (£120k)	High
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AS OF FEBRUARY 2026

